

DONALD J. TRUMP

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Donald Trump has been called every name in the book, has been fodder for the tabloids, and has almost lost his real estate and casino empire; however, through it all, he has kept his flamboyant zest for investing. His formula for real estate investment was simple: Trump laid "claim to prime location with a minimal early investment, parlayed political advantages and a locally downturned economy into a series of government concessions, and then used both the location and the concessions as a lure for an institutional partner that could help deliver the financing he otherwise could not obtain." Those political advantages were back-room alliances forged by his dad, who had already made a sizable fortune in real estate.

Raised in Queens, Trump enjoyed a privileged upbringing until his father tired of his pranks and sent him to a military school. Interestingly, the once and future freewheeling Trump excelled and was selected commander of the honor guard. After two years at Fordham University, he transferred to Wharton, and then joined his father's business, where he managed thousands of apartments, from maintenance to rent collection. Trump declared that he would be bigger than New York real estate baron Harry Helmsley in five years.

Trump's ambitions took him to Atlantic City; gambling had been legalized in New Jersey in 1976. He built his first casino, the Trump Plaza in 1984, followed by the Trump Taj Mahal and the Trump Marina. But then a recession hit, and Trump almost lost his empire in 1990. His latest casino, the Taj Mahal, wasn't generating the revenue expected, and Trump, already strapped with excessive debt, couldn't meet his payments. At the same time, he and Ivana were getting divorced and she was pressing for big bucks. An eleventh-hour restructuring saved him. He admitted that he had felt invincible, gotten lazy, and taken his eye off the ball. One comeback tip: Play golf; he found it relaxing and a way to generate ideas. A less universal tip: Always have a prenuptial agreement. As for strategic investing advice, such as not trying to hit a home run on every at-bat, he provides it in *Trump Cards: The Elements of the Deal*.